

US equities slip as yields rise, tech bears gain ground

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the **S&P 500** down **-0.58%** and the Dow off **-1.18%**. Higher Treasury yields and a firmer VIX signal renewed risk aversion, while the Nasdaq's modest dip masks a widening gap between growth and value stocks.

Behind the headline numbers, the market is digesting a stronger-than-expected 10-year yield at 4.81% and a rebound in energy prices. The rally in **TSLA** (**+3.98%**) and **AVGO** (**+2.98%**) highlights sector-specific catalysts, but the broader rotation into defensive utilities (**XLU** **+0.86%**) suggests investors are seeking shelter.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,673.52	-0.58%	Yield rise pressured growth stocks; defensive tilt.
Nasdaq 100	29,507.70	-0.12%	Tech earnings mixed; VIX uptick curbed risk appetite.
Dow Jones	52,786.07	-1.18%	Industrial exposure to higher financing costs.
Russell 2000	2,960.20	-0.52%	Small-cap sensitivity to rate outlook.
VIX	15.72	+2.75%	Higher volatility expectations after yield jump.
10Y Yield	4.81	+0.46%	Fed-signal of tighter policy; inflation data.
WTI Crude	93.96	+1.00%	OPEC+ supply restraint; geopolitical tension.
Gold	4,430.30	+0.83%	Safe-haven demand amid rising rates.
DXY	98.72	-0.12%	Dollar modestly weaker on mixed data.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+3.98%	New battery-cell partnership announced.
AVGO	+2.98%	Q3 earnings beat; higher 5G demand.
NVDA	-2.01%	Supply-chain constraints on AI chips.
AAPL	-1.17%	Weak iPhone sales forecast.
MSFT	-1.15%	Cloud spending slowdown.

Sector rotation

ETF	DAY	READ
XLF	-1.38%	Financials under pressure from higher rates.
XLK	+0.32%	Tech resilience on AI spend.
XLI	-0.48%	Industrial slowdown.
XLE	+1.11%	Energy rally from crude.
XLY	-0.80%	Consumer discretionary hit by rate fears.
XLC	-0.46%	Communications lagging.
XLP	-0.66%	Staples modestly down.
XLV	-2.52%	Health care hit by earnings misses.
XLU	+0.86%	Defensive tilt to utilities.
XLB	-0.95%	Materials pressured by slower demand.
XLRE	-0.07%	Real estate flat.

Spotlight: energy price surge

Crude oil climbed **+1.00%** to 93.96 USD, lifting the energy ETF **XLE** by **+1.11%**. The move reflects OPEC+'s decision to extend output cuts through Q4 and renewed geopolitical risk in the Middle East.

METRIC	VALUE
WTI price	93.96 USD
OPEC+ output cut	1.2 million bpd
US crude inventories (EIA)	-2.5 million barrels
Energy sector gain	+1.11%
Related stocks	XOM, CVX, COP

Pre-market & overnight

- US futures: ES -0.4%, NQ -0.3% at 08:30 HKT.
- Asia close: Hang Seng -0.9%, Shanghai Composite -0.7%.
- Europe: FTSE 100 -0.6%, DAX -0.5% after ECB rate minutes.
- Crypto: BTC -0.26%, ETH +0.17%.

Macro & Fed

- FOMC: No rate change; policy rate held at 5.25-5.50% with “higher for longer” tone.
- Yield curve: 2-year at 4.95%, 10-year at 4.81% – slight flattening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.2%	Inflation trend for Fed stance.
10:15	Retail sales	0.4%	Consumer demand gauge.
11:00	Initial jobless claims	210k	Labor market health.

Geopolitics & global

- Middle East: Tensions rise after Iranian drone activity; oil markets tighten.
- China: Manufacturing PMI at 49.8, indicating contraction; yuan under pressure.
- Eurozone: ECB minutes signal possible rate hike in November.
- Ukraine: Frontline stable, but aid packages delayed in US Congress.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:30	AAPL	\$6.10 B	iPhone demand, services growth.
03:00	MSFT	\$8.30 B	Cloud spend, AI licensing.
03:30	NVDA	\$5.00 B	AI chip inventory, margin pressure.
04:00	JPM	\$3.20 B	Net interest income, loan growth.
04:30	XOM	\$5.30 B	Upstream earnings, oil price exposure.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
TSLA	Consumer Discretionary	Battery-cell tie-up fuels upside.
AVGO	Technology	5G rollout acceleration.
XOM	Energy	Oil price rally.
CVX	Energy	Higher margins on crude.
META	Communication Services	Ad spend rebound.
JPM	Financials	Rate-sensitive NII.
UNH	Health Care	Premium pricing pressure.
BAC	Financials	Balance-sheet strength.
AMZN	Consumer Discretionary	Cloud margin recovery.
GOOGL	Technology	AI ad-tech rollout.

What could break the tape

BEARISH TRIGGERS

- 10-year yield breaches 5.00% – further equity pressure.
- Unexpected CPI spike above 0.3% MoM.
- Geopolitical escalation in the Middle East disrupting oil supply.
- Weak earnings from **NVDA** or **AAPL** missing guidance.

BULLISH TRIGGERS

- Crude oil drops below 85 USD, easing inflation concerns.
- Fed signals pause or rate cut in November.
- Strong Q3 earnings from AI-focused firms.
- Eurozone data shows recession avoidance, boosting risk appetite.

Positioning notes

- Defensive utilities and consumer staples are gaining net inflows as yield risk rises.
- AI-related tech remains volatile; selective long exposure to firms with solid order books.
- Energy sector offers short-term upside but watch for policy-driven demand shocks.

Sources

SOURCES

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Reuters – Earnings Calendar

ICE Data Services – Energy Prices

Crypto.com – BTC/ETH Prices